

were a great, great fad. There was a little fellow named Ponzi down my way who went on the same principle. In other words, the idea of the game is fine so long as you get new suckers to keep coming and bail the old ones out. The later Imrie deVegh called it the Bigger Fool Theory. You buy at a foolish price, but you hope you will get a bigger fool to pay you a bigger price later on. Dickson Watts was a famous cotton speculator, I think, and he laid down some principles for trading. He put it this way: "Against the crowd act boldly. With the crowd act cautiously. It may at any time turn and rend you." I think in very few words he has expressed in another way the principle involved in this kind of thing.

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*The stock market represents everything that anybody has ever hoped, feared, hated, or loved. It is all of life.*

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Actually, operation in securities is not mainly a matter of reasoning at all. The talented operators I know don't really reason things out (although they often pretend to). They just do it instinctively by experience. As a man plays golf or rides a horse. Our nation is a remarkable phenomenon, for we Americans are a very interesting group of people as seen in the light of history. We are essentially men of action. Do something about it! We are also men of science—tremendous men of science. But when we turn to art we find that it is not reasoning and not scientific; it is basically a matter of individual emotion and feeling for universality, channeled into a particular mode of expression such as painting, music, or philosophy as the latter involves understanding of the human soul. It is really an instinctive sense of things that exist but are too complicated to reason out. Here Americans appear deficient, somewhat as the Romans were. Thus you take a psychiatrist today—here you have an example of the attempt to apply the scientific method to the human mind.